Three Things Families Assume About the Legal Side When Mom Needs Care

What each one looks like, why it's understandable, and a better habit for each.

When a parent needs care, most families assume the same three things about the legal side. Every one of them is understandable, and each becomes a useful question once it's written down.

1 Assuming family can simply step in for Mom

WHAT IT LOOKS LIKE Mom has always handled her own affairs. Now she's in rehab, forms are arriving, and everyone takes it for granted that you can sign because you live closest, or your brother can because he's the oldest.

WHY IT HAPPENS In the rest of family life, whoever shows up handles it. Paperwork is different. A power of attorney is a legal document that allows someone else to act on a person's behalf, and the Consumer Financial Protection Bureau's guide for agents says that authority is strictly limited to what the document and state law allow. [1] [2]

> **WHAT TO DO INSTEAD** Write down who Mom's papers name to act for her, and what you've seen of how she is handling decisions herself, with dates. Then ask an elder law attorney who can act, and for what. Mom is still part of this: the same guide says a person who signed a power of attorney can manage her own money and property as long as she is able to make decisions. [2]

2 Assuming the papers Mom signed years ago cover what's happening now

WHAT IT LOOKS LIKE There's a power of attorney in the fireproof box and a trust Dad set up. Everyone is relieved: “It's all taken care of.” Nobody has read either one since the day it was signed.

WHY IT HAPPENS Having the document feels like having the answer. But documents differ. A power of attorney may take effect right away or only when the person can no longer make her own decisions, and a trustee can manage only the money or property that is in the trust. [2] [3]

> **WHAT TO DO INSTEAD** Find each document and write down its date, who it names and where it's kept. Then put the question to an elder law attorney in so many words: does our existing power of attorney or trust allow us to do what needs to be done?

3 Assuming that moving the house or the money is a simple fix

WHAT IT LOOKS LIKE A neighbor says to put the house in the kids' names. Your brother offers to hold Mom's savings in his account for now. It sounds like tidying up.

WHY IT HAPPENS It comes from wanting to look after her. But how a transfer would be treated depends on the details and on your state, and the CFPB's guide is plain about it: Medicaid is complicated, so get legal advice and be very careful about decisions that may affect eligibility for Medicaid. [2]

> **WHAT TO DO INSTEAD** Write down what Mom owns and how each thing is titled, any gifts or transfers already made, with dates, and any change the family is discussing. Bring the list to an elder law attorney before anything being considered is acted on. If something has already been done, it goes on the list as a fact. It isn't a failing.

The one habit behind all three

Find the paper, write down the fact, and turn the assumption into a question for an elder law attorney before anything is changed.

What this guide doesn't do

It doesn't say whether Mom's documents are enough, who can act for her, or what would happen if anything were transferred. Nothing here is legal, financial or tax advice, and rules vary by state. It names three assumptions, the same three the Medicaid Planning Roadmap sees at this step.

Ready for the next step?

You know which assumptions to turn into questions. The planning interview asks about your family's situation as a whole and gives you a free planning report you can bring to your Medicaid planner, to an elder law attorney, or to any conversation about paying for Mom's care.

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WHERE THIS COMES FROM

The general statements about powers of attorney, trustees and decisions that may affect Medicaid come from the Consumer Financial Protection Bureau sources below. The three assumptions are the Medicaid Planning Roadmap's own.

1. Consumer Financial Protection Bureau, What is a power of attorney (POA)?
2. Consumer Financial Protection Bureau, Managing someone else's money: Help for agents under a power of attorney
3. Consumer Financial Protection Bureau, Considering a financial caregiver? Know your options

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